

What is data governance?

DATA GOVERNANCE CONCEPTS



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First, some car shopping

- Requirements:
 - High quality materials
 - Built according to standards
 - Protection and security features
 - Available to purchase
 - Usable and reliable
 - Dealer accountable for issues



Data governance provides confidence

Buying a new car

- Must meet requirements prior to buying and driving the car off the lot

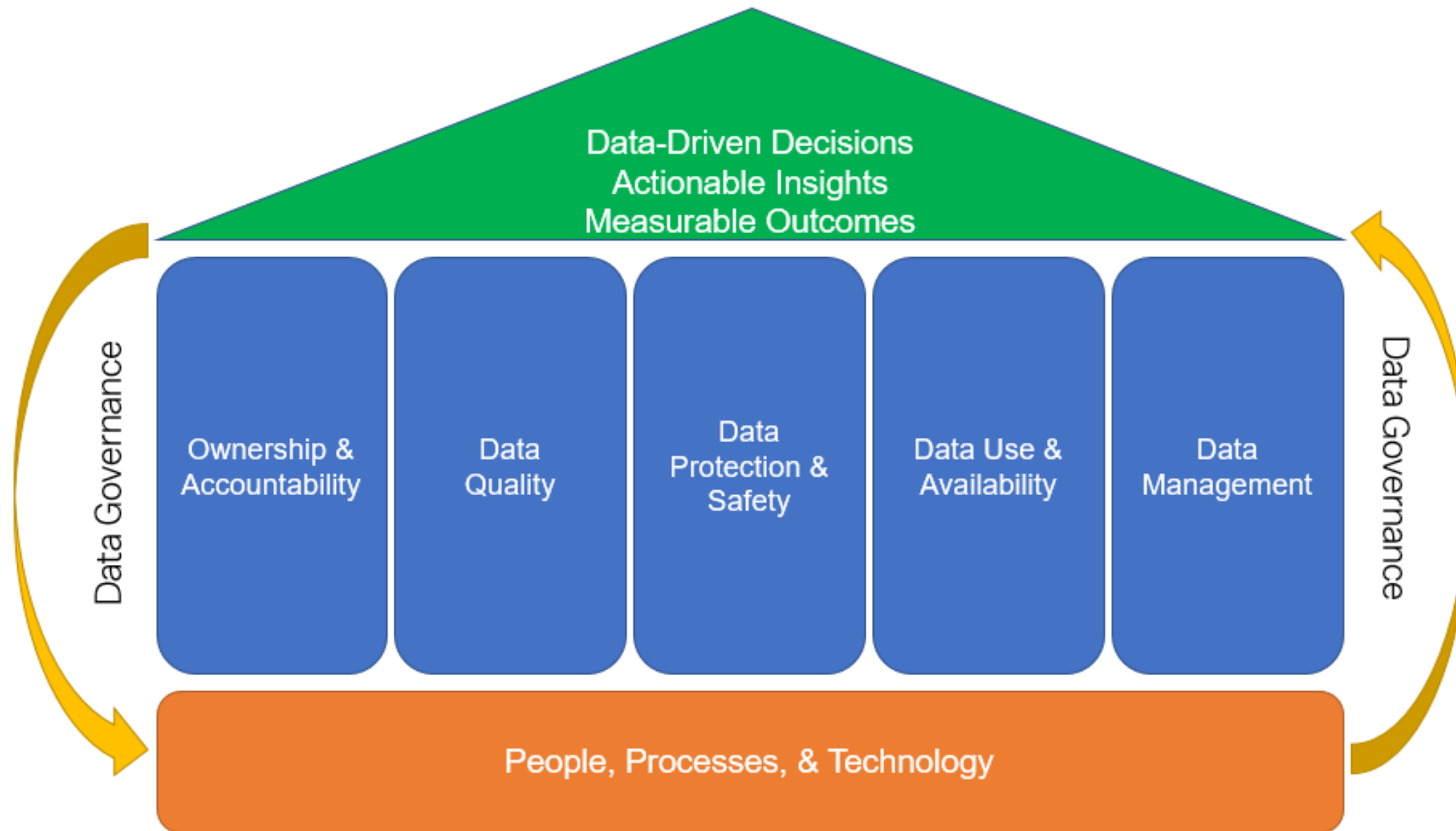
Finding the right data

- Must meet requirements before using data for reporting, analytics, and insights

Data governance

- Principles and processes to ensure:
 - Trusted, high-quality data
 - Accessible and available data
 - Defined roles and responsibilities

Data governance pillars



Ownership and accountability

- New car scenario
 - Owner = purchaser
 - Accountable party = dealer

Not always clearly defined for data!

- Data governance helps:
 - Define clear roles and responsibilities
 - Assign ownership
 - Ensure accountability



Data quality

Data quality dimensions (*applied to a car*):

1. Completeness - *has all its parts*
2. Accuracy - *built correctly*
3. Consistency - *looks like other cars*
4. Validity - *built to standards*
5. Timeliness - *delivered as expected*
6. Integrity - *no changes to car upon delivery*



Data protection and safety

Car protection features:

- Security system
- Door locks
- Key required

Data protection features:

- Data masking and encryption
- Disaster recovery
- Access management



Data use and availability

- Our new car needed to be:
 - Usable
 - Reliable
 - Available

So does our data!!

- Can we:
 - Consistently rely on it?
 - Use it for reporting and analytics?
 - Locate and gain access to it?



Data management

Car ownership 101

- Regular maintenance
- Store in a safe place
- Drive and use according to manual



Data management 101

- Technology to protect, use, and store data as a valuable asset
- Supports data governance policies, procedures, and goals

Let's practice!
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Why does data governance matter?

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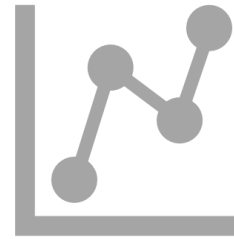
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The evolution of data governance



1980s

- Cataloging of transactional detail
- Primarily an IT function



2000s

- Companies begin to realize the power of trusted, quality data for actionable insights
- Regulatory requirements begin to increase



Today

- Data-driven decision-making to drive key business outcomes
- More regulatory and privacy requirements requiring formal data governance programs

Increased financial regulations

Goals include:

- Mitigate the risk of harmful events
- Increase executive accountability
- Better risk management
- More accurate reporting
- Increased protection for consumers, investor, and economy



Data governance is here to help!

The Sarbanes-Oxley (SOX) Act

- U.S. regulation enacted in 2002 as a response to high-profile accounting scandals
- Executives must attest to accuracy of financial information
- Set standards for financial and corporate reporting



CCAR

Comprehensive Capital Analysis and Review:

- Evaluates if U.S. banks have enough capital to withstand an economic downturn
- Includes stress test to evaluate resiliency
- Includes review of capital planning process and whether bank can distribute dividends or shares



BCBS 239

- 14 principles for risk data aggregation
- Grouped into three data requirements
 1. BCBS reporting and data aggregation
 2. BCBS data governance
 3. BCBS data quality requirements
- Global standard designed to prevent severe losses caused by poor risk management



U.S. privacy regulations

- Combination of federal and state laws with varying levels of protection and penalties
- Examples:
 - Health Insurance Portability and Accountability Act (HIPAA) (1997)
 - Sensitive information cannot be shared without patient knowledge or consent, except in certain situations
 - California Consumers Protection Act (CCPA) (2018)
 - Provides California residents with more control over the use, handling, retention, and selling of their personal data

General Data Protection Regulation (GDPR)

- Comprehensive privacy law to be used across the European Union (EU)
- Applies to any company that collects data of EU citizens and residents
- Some key components:
 - Increases the rights of EU citizens and residents over how personal data is processed
 - Data must be anonymized to protect privacy
 - Consumers must be notified of data breaches
 - Data transferring between countries must follow certain standards
 - Certain companies must have a data protection officer to oversee GDPR compliance

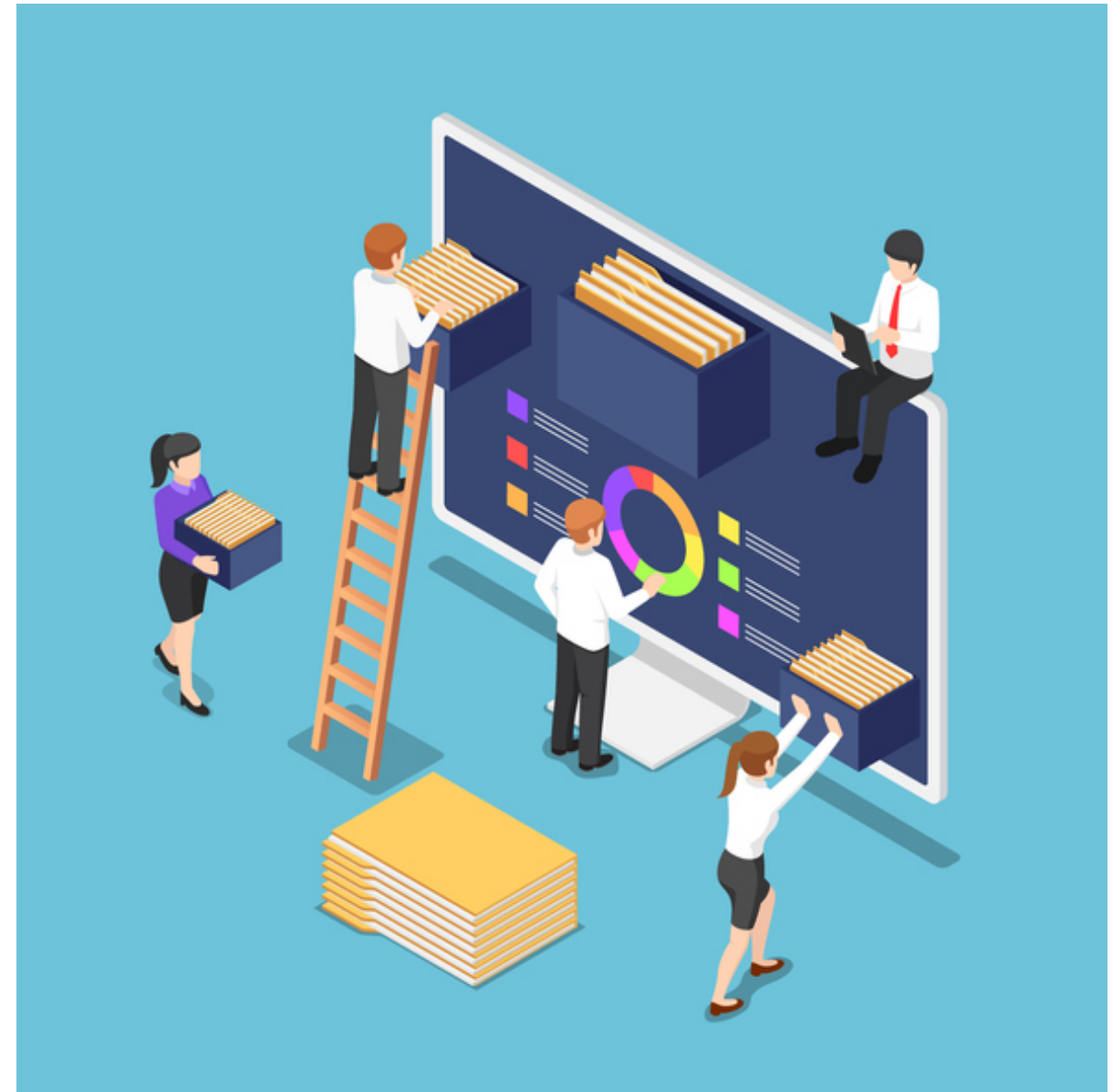
Data classification and retention

Data classification

- Groups data based on confidentiality level
- Indicates how data should be handled, protected, and used

Data retention and destruction policies

- Indicate how long data should be kept and when it should be destroyed
- Leverages data classification



Master, reference, and metadata management

Master data management

- Enables consistency and transparency
- Creating master (golden) records to identify, match, and merge data across systems

Reference data management

- Identifying, mapping, and conforming coded data sets (e.g., country code, currency) across business lines and systems to ensure consistency

Metadata management

- Managing data that describes and defines data (e.g., lineage, definitions)
- Enables searching and cataloging of data

Let's practice!
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Benefits of data governance

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Data governance benefits



Having better data

- Complete - all data requested is there
- Accurate - correctness
- Timely - delivered on-time
- Valid - free of operational errors
- Consistency - same across sources
- Integrity - free of technical errors



Mitigating risk

- Increased transparency and visibility
- Better ability to assess accuracy of data
- Facilitates regulatory compliance
- Reduced risk of fines, jail, and other penalties



Making better decisions

- Reliable, trusted, high quality data
- Increased visibility and understanding
- Improved confidence using analytics and insights to inform decisions



Streamlining processes

- Policies and standards
- Clear roles and responsibilities
- Increased transparency of data use and handling
- Identification of duplicate work
- Reduction in errors and manual adjustments



Providing better customer service

Data governance helps provide:

- Increased ability to answer customer questions
- Better customer service
- Effective handling of complaints
- Analytics and insights to improve customer experiences



Making more profit

- Increased quality
- Increased compliance
- Improved decision-making
- Increased efficiency
- Better reputation
- Decreased costs
- Greater profits



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